# Sansera Engineering Ltd

Concall Tracker — reading the last 4.5 years of earnings calls (Nov 2021 → May 2026) · Report date 11 Jul 2026

**What the business does (one line):** Sansera is a Bangalore precision-engineering company. It forges and machines high-strength metal parts — connecting rods, crankshafts, gears — for two-wheelers, cars and trucks (its bread-and-butter), and is fast expanding into aerospace, defence and semiconductor-equipment parts plus "electric-vehicle-agnostic" components that fit petrol, hybrid or electric vehicles alike.

## 1. Snapshot — the basic numbers, each in plain words

| Figure (FY26, year to Mar 2026, consolidated) | Value | What it means in plain English |
|---|---|---|
| Revenue (total sales) | **Rs 3,498 cr** | All the money from selling parts this year, up 16% on last year's Rs 3,017 cr — a record, but slower than its usual ~18% pace because exports were hit by US tariffs early in the year. |
| Operating profit (EBITDA) | **Rs 632 cr** | Profit from the core business before interest, tax and wear-and-tear charges, up 23%. Margin 18.1% of sales vs 17.1% — the best in years, helped by the richer aerospace/semiconductor mix. |
| Net profit (after everything) | **Rs 327 cr** | The final take-home profit, up a strong 51%. Profit grew far faster than sales because interest costs fell (near debt-free) and the product mix improved. |
| Return on capital (ROCE) | **18.0%** | For every Rs 100 of capital in the business it earns Rs 18 before tax — decent and improving (was 16.2%), but still short of its stated 20% goal. |
| Balance sheet | **~Net cash** | Cash of about Rs 397 cr against small borrowings; after a Rs 1,200 cr share-sale (QIP) in late 2024 it is effectively debt-free, so it can fund expansion without stress. |
| Market value / valuation | **Rs 20,600 cr · P/E ~63–66x** | The whole company is priced at about 63–66 times its yearly profit — **very expensive**. The share (Rs 3,304) sits near its all-time high of Rs 3,339, having nearly tripled from its Rs 1,216 low. A lot of future growth is already in the price. |

## 2. Concall coverage — what was read

All **20 available transcripts** were read, from the first post-IPO call (Q2 FY22, Nov 2021) to the latest (Q4 FY26, May 2026) — an unbroken quarterly record spanning about 4.5 years. The Screener download audit confirmed 20 of 20 calls present, none missing, including the freshest one.

| Span | Calls read | Freshest call | Consistency read |
|---|---|---|---|
| Q2 FY22 → Q4 FY26 (Nov 2021 – May 2026) | 20 of 20 (full history) | Q4 FY26, held 21 May 2026 | Strong — long, gap-free record allows a reliable promised-vs-delivered check. |

### ★ Latest concall highlights — Q4 FY26 (call held 21 May 2026)

- **Record quarter.** Quarterly sales **Rs 999 cr**, up 28% on a year earlier — the highest ever. Full-year sales Rs 3,498 cr (+16%).
- **Margins jumped.** Quarterly operating margin hit **19.3%** (from 16.3%), a 3-point leap, and net profit **doubled to Rs 123 cr** (+108%), with margin at 12.3% — driven by the higher-value aerospace/semiconductor mix and factories running full.
- **The diversification engine delivered.** The Aerospace-Defence-Semiconductor (ADS) arm hit **Rs 315 cr** of product sales for the year, up **155%** — exactly the "roughly double, ~Rs 300 cr" management had promised a year earlier. Semiconductor-equipment parts (an AI-chip tailwind) were the star, growing from near-zero; aerospace grew 63%.
- **Two new bets announced.** A new Japanese joint venture with **Nichidai** (Sansera 60%, ~Rs 50 cr) to make forged steering/driveline parts — "an opportunity as big as our current auto business"; and board approval to buy ~10 acres near Bangalore airport for an aerospace park. A new Pantnagar plant was also inaugurated.
- **Tone: confident but cautious.** Management called FY26 "pivotal" and points to a **Rs 4,460 cr** five-year ADS order backlog, but flagged that new order booking was "soft" from overseas customers and that FY27 begins under tariff and raw-material-cost clouds. Core petrol-engine (ICE) plants are at **maximum utilisation**, forcing heavy new spending.

### Business mix & capacity — quick-glance panel

**Auto vs non-auto:** Petrol-engine (ICE) auto parts are still ~68% of sales (Rs 643 cr in Q4 alone). Non-auto + EV-agnostic parts reached **~30% for the year and 32% in Q4** — climbing toward the long-standing 40% goal. Plain read: about two-thirds of the business is still ordinary auto parts, but a third is now the higher-margin, faster-growing new stuff.

**Domestic vs exports:** Not given as a single clean figure on this call; across recent years **exports run ~31–32% of sales** (order book is over 60% overseas). Plain read: roughly one-third of sales are exports — these dipped on US tariffs during FY26 and are only now recovering.

**Capacity:** Core ICE forging/machining plants are at **peak/maximum utilisation** — no spare room, which is why capex stays high (Rs 510 cr in FY26, similar planned for FY27). The ADS facility can support ~Rs 600–650 cr of sales; a new aerospace hangar is ready by mid-2026. Management says forging capacity must grow ~40% over the next two years. Plain read: demand is bumping against the walls of the factories — good problem, but it needs constant, costly expansion.

### ★ 3. Earning-trigger thesis — the headline

**The main thing management says will grow earnings:** a deliberate shift out of low-margin, cyclical petrol-engine auto parts into **higher-margin, structurally growing niches — above all Aerospace, Defence & Semiconductor (ADS)**, plus premium "content-per-vehicle" auto parts and exports. This is not just talk: ADS revenue roughly tripled over two years (Rs 123 cr FY25 → Rs 315 cr FY26), it carries fatter 25–30% margins, and it is the reason company-wide margins and profit jumped this year. Management sees ADS reaching Rs 550–600 cr next year and Rs 1,200–1,300 cr by FY30, backed by a Rs 4,460 cr order backlog.

| Trigger | What management said | Evidence so far | Time horizon | Strength |
|---|---|---|---|---|
| **Aerospace-Defence-Semiconductor (ADS)** | Double FY26 to ~Rs 300 cr; Rs 550–600 cr FY27; ~Rs 1,200–1,300 cr by FY30 | Delivered Rs 315 cr FY26 (+155%); margin-accretive; Rs 4,460 cr backlog; aerospace part sizes up from 1.5 m to 4 m | Live now, builds to FY30 | Strong |
| **Semiconductor-equipment parts** (within ADS) | New leg, AI-chip driven; "up there with the best in the world" | Mass production ramped from zero in FY26; the year's outperformer — but rests on **one** major customer so far | Early, large upside | Moderate |
| **Auto premiumisation & export recovery** | Grow ~10% above the auto industry; richer content per vehicle; exports back to 35%+ | Q4 auto ICE +21.6%; PV/CV strong; but exports were tariff-hit through FY26, only now turning | Ongoing | Moderate |
| **xEV / EV-agnostic parts** | Pitched in 2023 as a 70%+ growth engine toward 20% of sales | **Stalled** — a domestic EV customer was dropped, and the biggest N-American EV customer's orders fell 50–60%; management put new xEV orders on an "intended pause" | Flat for 3–4 yrs | Weak |
| **Nichidai JV (Japan)** | "As big as our current auto business" over time — forged steering/driveline | Just signed (May 2026); nothing produced yet | FY27 onward | Unproven |

## 4. Management-consistency scorecard — promised vs delivered

| Period first promised | What was promised | What actually happened | Verdict |
|---|---|---|---|
| FY26 (set May 2025) | ADS to "roughly double" to Rs 280–300 cr | Delivered Rs 315 cr (+155%); reaffirmed verbatim every quarter and hit it | **Delivered** |
| 2021–22 (IPO) | Reach ~Rs 200 cr aerospace within ~3 years via the new Jigani plant | Aerospace scaled up strongly; ADS as a whole now Rs 315 cr. Slower than first hoped but reached | **Delivered** |
| 2021 (IPO) | Non-auto + EV-agnostic to 40% of revenue in ~5 years | Reached ~30% (year) / 32% (Q4) by FY26 — good progress, but the mix tilted to ADS while xEV under-delivered | **Partly** |
| May 2025 | FY26 overall growth "high-teens" | Walked down mid-year to "positive/uncertain" on tariffs (H1 only ~6%), then H2 rescued it to +16% for the year | **Partly** |
| 2023 | xEV a 70%+ growth engine toward 20% of sales | Dropped a customer, biggest EV client fell 50–60%; xEV shrank to ~4% and was paused | **Missed / Dropped** |
| 2023 onward | Set up a US manufacturing plant ("actively pursuing", site chosen) | Deferred every single quarter for ~3 years on tariff uncertainty; still not signed | **Perpetually deferred** |
| Long-term | "Triple-20": 20% growth, 20% margin, 20% ROCE | On the path — FY26 margin 18.1%, ROCE 18.0%, both improving but not yet at 20% | **Too-early / on track** |

**Narrative drift:** The **core story has been remarkably steady for 4.5 years** — the same diversification vision, the order book compounding almost every quarter (Rs 1,250 cr of new-business potential at IPO to Rs 2,410 cr now), aerospace scaling, and margins inching up. On the one big, measurable promise (ADS FY26) management set a number and mechanically hit it, and it was candid about the setbacks it did have. The genuine drift is on **secondary/timing items**: the xEV story was over-hyped early then quietly de-emphasised in favour of ADS and semiconductors, the US plant has been "about to sign" for three years, and near-term growth guidance was serially walked down a quarter at a time. Honest, consistent on the essentials; a habit of over-promising on timing at the edges.

## 5. Bottom line — two verdicts

### Durable earning trigger? → YES

There is a clear, concrete, still-live driver: the shift into Aerospace, Defence & Semiconductor. It is not a hope — ADS revenue grew 155% this year, carries far higher margins (lifting the whole company's margin to a multi-year best), is backed by a Rs 4,460 cr multi-year order backlog and visible Rs 1,200–1,300 cr FY30 potential, and the semiconductor leg adds a real AI-chip tailwind. The main caveat is customer concentration in semiconductors and that the older auto business is still two-thirds of sales — but the trigger itself is real and playing out.

### Management consistent? → YES

Across 4.5 years and 20 calls the vision never wobbled, the order book grew as shown, and the one hard target that could be checked (FY26 ADS ~Rs 300 cr) was delivered almost to the rupee. Management was also openly candid about its misses rather than hiding them. That said, this is a **qualified** yes: the xEV promise was over-sold then dropped, the US plant has been endlessly deferred, and growth guidance was repeatedly trimmed mid-year — a recurring "it'll come next quarter" habit. Believe them on the big diversification bet; discount their near-term timing.

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**Watch-outs for a buyer:** the stock is very expensive (~63–66x earnings, near its all-time high after nearly tripling), the business is capex-heavy (Rs 500 cr+ a year, plants already at full utilisation) and still two-thirds tied to cyclical auto demand, and near-term exports face tariff risk. The engine is genuine and proven; the price already assumes a lot of it. · *This is not investment advice. Do your own due diligence.* · Sources: 20 Sansera Engineering concall transcripts (Screener.in), Nov 2021 – May 2026, plus Screener financial snapshot.